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# Korea Shipbuilding & Repairs

## Transfer of coverage

We are transferring coverage of the below stocks in the Korea Shipbuilding space to Simon Han, owing to the departure of the covering analyst. There are no changes to our ratings, price targets, or estimates.

**Korea Consumer, Defense and Autos**

**Simon Han** AC
(82-2) 758-5711
simon.x.han@jpmorgan.com

**Seri Yoon**
(82-2) 758 5704
seri.yoon@jpmorgan.com
J.P. Morgan Securities (Far East) Limited, Seoul Branch

**Equity Ratings and Price Targets**

| Company | Ticker | Mkt Cap ($ mn) | Price CCY | Price | Rating Cur | Rating Prev | Price Target Cur | End Date | Prev | Prev End Date |
|---|---|---|---|---|---|---|---|---|---|---|
| HD Hyundai Heavy Industries | 329180 KS | 22,984 | KRW | 366,500 | OW | n/c | 370,000 | Dec-25 | n/c | n/c |
| HD Hyundai Marine Solution | 443060 KS | 5,253 | KRW | 167,300 | OW | n/c | 190,000 | Mar-26 | n/c | n/c |
| HD HYUNDAI MIPO | 010620 KS | 3,818 | KRW | 135,300 | OW | n/c | 150,000 | Dec-25 | n/c | n/c |
| HD Korea Shipbuilding & Offshore Engineering | 009540 KS | 11,499 | KRW | 230,000 | OW | n/c | 260,000 | Dec-25 | n/c | n/c |
| Samsung Heavy Industries | 010140 KS | 9,250 | KRW | 14,880 | N | n/c | 13,000 | Dec-25 | n/c | n/c |

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 17 Apr 25.

Simon Han [AC]
(82-2) 758-5711
simon.x.han@jpmorgan.com



# Investment Thesis, Valuation and Risks

## HD Hyundai Heavy Industries *(Overweight; Price Target: W370,000)*

**Investment Thesis**

While KR shipbuilders have collectively outperformed the KOSPI in the past 12 months, HD Hyundai Heavy (HHI) stands out. Part of the performance we think is from commercial vessels - strong orders, revenue and profit inflection, and part of it from the market's rising expectation on its defense business. Defense MRO potential with the US has already started shaping up since last year, while expectation for naval shipbuilding has recently emerged, as the US Navy's fleet expansion plan faces imminent challenges, also as Trump mentions about reliance on allies. Its initial contribution to HHI's revenue and profits would be minor, however, it has material potential that could add defensiveness to the cyclical business. We incorporate the value by applying above mid-cycle (still not peak level) multiple of 0.5x to its orderbook. We also note that HHI is further solidifying its presence in the global engine market post the acquisition of HD Hyundai Marine Engine (Not Covered).

**Valuation**

We apply 0.5x (above mid-cycle multiple, historic range 0.2-0.7x) price to 2025E orderbook to derive our Dec-25 PT of W370K, a premium to Samsung Heavy, given higher orderbook margins, leadership in low-emission vessels, existence of engines and defense business.

**Risks to Rating and Price Target**

Downside risks to our rating and price target include: 1) global recession; 2) USD weakness (although a large proportion of the USD exposure is hedged); and 3) raw material and labour costs.

Simon Han AC
(82-2) 758-5711
simon.x.han@jpmorgan.com



# Investment Thesis, Valuation and Risks

## HD Hyundai Marine Solution *(Overweight; Price Target: W190,000)*

**Investment Thesis**

Compared with the highly-visible nature of the business, the stock has been very volatile. The prior excitement came from the strong 3Q result (revenue +29%, OP +66% y-y), while the 4Q result (revenue +20% y-y, OP +29% y-y), although strong, did not meet raised expectations. That said, for the two quarters combined, the company delivered a robust 53% OP growth vs last year, and full-year OP grew 35% y-y. After going through the three quarters of post-IPO earnings, we conclude that: 1) its mid-term operations are cruising strongly and are likely to continue, making it an attractive stock to own long-term; and 2) profits could fluctuate on a quarterly basis, but instead of extrapolating too much from recent earnings we would assume a reversion to the mid-term trend. We think the stock has overly corrected on recent earnings and also on the recent PE block deal – we would be contrarian and buy into it: maintain OW.

**Valuation**

We set HMS's Mar-26 PT at W190K, based on a 12-month forward target P/E of 25x, a 20% premium to maritime peers given its stronger revenue and earnings growth prospects beyond our forecast horizon, less business risk and stronger shareholder return outlook. We use P/E as the valuation method for the stock, as: 1) unlike shipbuilding, it runs a stable and cycle-defensive aftermarket business; 2) its growth does not require heavy fixed capital deployment; and 3) we estimate its bottom-line earnings to accompany corresponding free cash flow and shareholder returns.

**Risks to Rating and Price Target**

**Upside risks to our rating and price target include:**

**1)** Strong vessel price pushing AM price and margins higher, and/or stronger-than-expected AM business expansion to non-captive vessels.
**2)** Stronger-than-expected retrofit demand over vessel replacement.
**3)** Faster than expected expansion of SDV revenue with strong operating leverage.

**Downside risks include:**

**1)** Slow pace of non-captive AM business expansion.
**2)** Rising competition which may weigh on profitability.
**3)** Shipowners opting for vessel replacement or slow steaming (i.e., postponing investment as far back as possible) over eco-retrofit.
**4)** Expiry of share lockup (six months post IPO).

Simon Han AC
(82-2) 758-5711
simon.x.han@jpmorgan.com



# Investment Thesis, Valuation and Risks

## HD HYUNDAI MIPO *(Overweight; Price Target: W150,000)*

**Investment Thesis**

Profit turnaround is happening faster-than-expected, raising visibility for a solid profit improvement in the coming years. Orders have far exceeded target (186% run-rate) and with YTD numbers ($5.8B) reaching close to our previous estimate ($6B), we slightly raised our 2024E order estimate to $6.2B. We maintain our PT at W150k; OW. Mipo is rapidly digesting its low-margin 2021 orders and shifting its mix to higher margin ships, which will continue in the next 2-3 years. In 2026E, when Mipo starts delivering 2024 orders, we expect OPM to reach low-teens, which could still prove to be conservative as the vessel price is near previous peak levels when it delivered high-teens OPM.

**Valuation**

Our Dec-25 PT of W150k is based on a target multiple of 0.4x 12m forward order backlog, reflecting a mid-cycle industry environment.

**Risks to Rating and Price Target**

Downside risks to our rating and price target include: 1) trade tensions between the US/China that weigh on global trade growth; 2) a macro downturn; 3) KRW strength (although a large proportion of the exposure is hedged) and steel prices; and 4) order flows.

# Investment Thesis, Valuation and Risks

## HD Korea Shipbuilding & Offshore Engineering *(Overweight; Price Target: W260,000)*

**Investment Thesis**

KSOE's revenue grew 25% y-y on strong revenue at HHI and Samho's shipbuilding business as well as HHI's engine. Profits also beat expectation - while Samho's OPM remained strong at c.10%, HHI and Mipo continued to catch up - HHI delivering 7% OPM (under KSOE, net consolidation adjustment) and Mipo also delivered faster-than-expected profit turnaround, posting c.3% OPM and likely reaching mid-single within 1H25E. Samho and Mipo's order momentum has been stronger-than-expected. Ongoing profit improvement at key affiliates would lead to expectation for shareholder returns and capital management for KSOE, justifying a narrower NAV discount.

**Valuation**

Our Dec-25 PT of W260,000 is based on NAV, applying a 50% discount to listed affiliates and 10% discount to Samho.

**HD KSOE: NAV valuation**

| | 2024E orderbook (USDbn) | | Target market cap (Wtn) | % stake | NAV discount | NAV (Wtn) | Contribution to KSOE PT |
|---|---|---|---|---|---|---|---|
| Hyundai Heavy | 44.2 | 0.4x | 20.4 | 75% | 50% | 7.6 | W108,000 |
| Samho Heavy | 20.0 | 0.4x | 9.2 | 97% | 10% | 8.0 | W113,000 |
| Hyundai Mipo | 11.8 | 0.4x | 5.1 | 42% | 50% | 1.1 | W16,000 |
| Other affiliates | | | 0.3 | 54% | 50% | 0.1 | W2,000 |
| Net Cash | | | 1.7 | | 10% | 1.5 | W21,000 |
| **Total** | **76.0** | | **34.7** | | | **18.2** | **W260,000** |

Source: J.P. Morgan estimates

**Risks to Rating and Price Target**

Downside risks to our rating and price target include: 1) trade tensions between US/China that may weigh on global trade growth; 2) a macro downturn; 3) USD weakness (although a large proportion of the USD exposure is hedged) and steel prices; and 4) lower order flows than we expect.

Simon Han AC
(82-2) 758-5711
simon.x.han@jpmorgan.com



# Investment Thesis, Valuation and Risks

## Samsung Heavy Industries *(Neutral; Price Target: W13,000)*

**Investment Thesis**

In the 2025 guidance, revenue target (W10.5T, +6% y-y) appears reasonable, but OP target (W630B, OPM 6%) seems too conservative. While we expect the company to deliver better-than-guided earnings as we progress into this year, we think the guidance itself is unlikely to excite the market near-term. The stock performed strong entering this year, narrowing the gap with the peers that rallied earlier and stronger last year. We think the stock will take a breather near-term, waiting for next catalysts - above-guided profits, order inflows and developments in US LNG projects and potential China sanctions; Maintain Neutral, PT W13k.

**Valuation**

We apply a 0.25x order book multiple, the upper band of the historical range (0.1-0.25x), reflecting solid order momentum and an improved order book margin profile, to derive our Dec-25 PT of W13,000.

**Risks to Rating and Price Target**

Upside risks to our rating and price target include: 1) stronger-than-expected orders during the weak season, and 2) profit beat.

Downside risks include: 1) a global recession; 2) FX and steel prices; and 3) weak order flows.

Simon Han [AC]
(82-2) 758-5711
simon.x.han@jpmorgan.com



# HD Hyundai Heavy Industries: Summary of Financials

| Income Statement | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| **Revenue** | **11,964** | **14,537** | **16,811** | **18,335** |
| COGS | (11,309) | (13,054) | (14,312) | (15,106) |
| **Gross profit** | **655** | **1,483** | **2,499** | **3,229** |
| SG&A | (476) | (778) | (827) | (884) |
| **Adj. EBITDA** | **438** | **1,019** | **1,019** | **2,061** |
| D&A | (260) | (314) | (389) | (437) |
| **Adj. EBIT** | **179** | **705** | **1,672** | **2,346** |
| Net Interest | (83) | (98) | (36) | 8 |
| **Adj. PBT** | **34** | **649** | **1,637** | **2,354** |
| Tax | (10) | (146) | (393) | (565) |
| Minority Interest | 0 | 0 | 0 | 0 |
| **Adj. Net Income** | **25** | **503** | **1,244** | **1,789** |
| Reported EPS | 278 | 5,665 | 14,011 | 20,153 |
| **Adj. EPS** | **278** | **5,665** | **14,011** | **20,153** |
| | | | | |
| **DPS** | **0** | **1,500** | **4,200** | **6,000** |
| Payout ratio | 0.0% | 26.5% | 30.0% | 29.8% |
| Shares outstanding | 89 | 89 | 89 | 89 |

| Balance Sheet | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| Cash and cash equivalents | 928 | 360 | 454 | 1,278 |
| Accounts receivable | 1,384 | 1,615 | 1,770 | 1,930 |
| Inventories | 1,310 | 1,450 | 1,590 | 1,678 |
| Other current assets | 5,178 | 4,631 | 4,631 | 4,631 |
| **Current assets** | **8,800** | **8,057** | **8,445** | **9,517** |
| PP&E | 6,452 | 6,635 | 6,747 | 6,812 |
| LT investments | 1 | 3 | 3 | 3 |
| Other non current assets | 1,881 | 2,001 | 2,297 | 2,493 |
| **Total assets** | **17,134** | **16,696** | **17,491** | **18,825** |
| | | | | |
| Short term borrowings | 960 | 200 | 100 | 0 |
| Payables | 2,025 | 2,373 | 2,602 | 2,746 |
| Other short term liabilities | 6,960 | 7,178 | 7,512 | 7,363 |
| **Current liabilities** | **9,945** | **9,751** | **10,214** | **10,109** |
| Long-term debt | 859 | 100 | 0 | 0 |
| Other long term liabilities | 1,122 | 1,132 | 454 | 477 |
| **Total liabilities** | **11,926** | **10,984** | **10,668** | **10,586** |
| Shareholders' equity | 5,207 | 5,712 | 6,823 | 8,239 |
| Minority interests | 0 | 0 | 0 | 0 |
| **Total liabilities & equity** | **17,134** | **16,696** | **17,491** | **18,825** |
| **BVPS** | **58,660** | **64,348** | **76,859** | **92,812** |
| *y/y Growth* | *(1.5%)* | *9.7%* | *19.4%* | *20.8%* |
| | | | | |
| Net debt/(cash) | 891 | (60) | (354) | (1,278) |

| Cash Flow Statement | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| **Cash flow from operating activities** | **169** | **1,680** | **1,923** | **2,495** |
| o/w Depreciation & amortization | 260 | 314 | 389 | 437 |
| o/w Changes in working capital | (77) | 863 | 290 | 269 |
| | | | | |
| **Cash flow from investing activities** | **(478)** | **(618)** | **(796)** | **(698)** |
| o/w Capital expenditure | (504) | (500) | (500) | (500) |
| *as % of sales* | *4.2%* | *3.4%* | *3.0%* | *2.7%* |
| | | | | |
| **Cash flow from financing activities** | **493** | **(1,630)** | **(1,033)** | **(973)** |
| o/w Dividends paid | 0 | 0 | (133) | (373) |
| o/w Shares issued/(repurchased) | 0 | 0 | 0 | 0 |
| o/w Net debt issued/(repaid) | 503 | (1,630) | (900) | (600) |
| **Net change in cash** | **184** | **(568)** | **94** | **824** |
| | | | | |
| **Adj. Free cash flow to firm** | **(335)** | **1,180** | **1,423** | **1,995** |
| *y/y Growth* | *(21.9%)* | *(451.7%)* | *20.6%* | *40.2%* |

| Ratio Analysis | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| Gross margin | 5.5% | 10.2% | 14.9% | 17.6% |
| EBITDA margin | 3.7% | 7.0% | 6.1% | 11.2% |
| EBIT margin | 1.5% | 4.9% | 9.9% | 12.8% |
| Net profit margin | 0.2% | 3.5% | 7.4% | 9.8% |
| | | | | |
| ROE | 0.5% | 9.2% | 19.8% | 23.8% |
| ROA | 0.1% | 3.0% | 7.3% | 9.9% |
| ROCE | 1.8% | 8.4% | 19.6% | 23.5% |
| SG&A/Sales | 4.0% | 5.4% | 4.9% | 4.8% |
| Net debt/Equity | 0.2 | NM | NM | NM |
| Net debt/EBITDA (x) | 2.0 | NM | NM | NM |
| | | | | |
| Sales/Assets (x) | 0.7 | 0.9 | 1.0 | 1.0 |
| Assets/Equity (x) | 3.2 | 3.1 | 2.7 | 2.4 |
| Interest cover (x) | 5.3 | 10.4 | 28.7 | NM |
| Operating leverage | (501.4%) | 1370.3% | 876.6% | 444.3% |
| Tax rate | 28.1% | 22.5% | 24.0% | 24.0% |
| Revenue y/y Growth | 32.3% | 21.5% | 15.6% | 9.1% |
| EBITDA y/y Growth | (1356.5%) | 132.6% | 0.0% | 102.2% |
| EPS y/y Growth | (107.0%) | 1937.0% | 147.3% | 43.8% |

| Valuation | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| P/E (x) | 1,317.8 | 64.7 | 26.2 | 18.2 |
| P/BV (x) | 6.2 | 5.7 | 4.8 | 3.9 |
| Dividend Yield | 0.0% | 0.4% | 1.1% | 1.6% |

Source: Company reports and J.P. Morgan estimates.
Note: W in billions (except per-share data).Fiscal year ends Dec. o/w - out of which

Simon Han AC
(82-2) 758-5711
simon.x.han@jpmorgan.com



# HD Hyundai Marine Solution: Summary of Financials

| Income Statement | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| **Revenue** | **1,430** | **1,745** | **2,061** | **2,521** |
| COGS | (1,158) | (1,392) | (1,612) | (1,948) |
| **Gross profit** | **273** | **353** | **449** | **572** |
| SG&A | (67) | (76) | (88) | (112) |
| **Adj. EBITDA** | **212** | **281** | **365** | **462** |
| D&A | (10) | (10) | (10) | (10) |
| **Adj. EBIT** | **201** | **272** | **355** | **453** |
| Net Interest | (4) | (2) | 7 | 17 |
| **Adj. PBT** | **201** | **297** | **362** | **470** |
| Tax | (50) | (59) | (90) | (117) |
| Minority Interest | 0 | 0 | 0 | 0 |
| **Adj. Net Income** | **151** | **237** | **271** | **352** |
| Reported EPS | 3,778 | 5,342 | 6,105 | 7,924 |
| **Adj. EPS** | **3,778** | **5,342** | **6,105** | **7,924** |
| | | | | |
| **DPS** | **2,500** | **3,150** | **3,500** | **4,500** |
| Payout ratio | 66.2% | 59.0% | 57.3% | 56.8% |
| Shares outstanding | 40 | 44 | 44 | 44 |

| Balance Sheet | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| Cash and cash equivalents | 96 | 211 | 213 | 277 |
| Accounts receivable | 211 | 242 | 286 | 355 |
| Inventories | 238 | 240 | 278 | 336 |
| Other current assets | 53 | 320 | 370 | 420 |
| **Current assets** | **597** | **1,014** | **1,147** | **1,388** |
| PP&E | 11 | 11 | 11 | 12 |
| LT investments | 0 | 0 | 0 | 0 |
| Other non current assets | 48 | 74 | 84 | 98 |
| **Total assets** | **657** | **1,099** | **1,243** | **1,497** |
| | | | | |
| Short term borrowings | 128 | 30 | 0 | 0 |
| Payables | 146 | 164 | 190 | 229 |
| Other short term liabilities | 113 | 125 | 138 | 153 |
| **Current liabilities** | **388** | **319** | **328** | **382** |
| Long-term debt | 0 | 0 | 0 | 0 |
| Other long term liabilities | 29 | 32 | 35 | 38 |
| **Total liabilities** | **417** | **351** | **363** | **420** |
| Shareholders' equity | 240 | 749 | 880 | 1,077 |
| Minority interests | 0 | 0 | 0 | 0 |
| **Total liabilities & equity** | **657** | **1,099** | **1,243** | **1,497** |
| **BVPS** | **5,999** | **16,841** | **19,796** | **24,220** |
| *y/y Growth* | *31.7%* | *180.7%* | *17.5%* | *22.3%* |
| | | | | |
| Net debt/(cash) | 32 | (431) | (513) | (627) |

| Cash Flow Statement | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| **Cash flow from operating activities** | **73** | **202** | **232** | **279** |
| o/w Depreciation & amortization | 10 | 10 | 10 | 10 |
| o/w Changes in working capital | (88) | (45) | (49) | (83) |
| | | | | |
| **Cash flow from investing activities** | **5** | **(260)** | **(60)** | **(60)** |
| o/w Capital expenditure | (2) | (10) | (10) | (10) |
| *as % of sales* | *0.2%* | *0.6%* | *0.5%* | *0.4%* |
| | | | | |
| **Cash flow from financing activities** | **45** | **(173)** | **170** | **156** |
| o/w Dividends paid | (90) | (100) | (140) | (156) |
| o/w Shares issued/(repurchased) | 0 | 371 | 0 | 0 |
| o/w Net debt issued/(repaid) | 52 | (98) | (30) | 0 |
| **Net change in cash** | **123** | **(231)** | **342** | **375** |
| | | | | |
| **Adj. Free cash flow to firm** | **70** | **192** | **222** | **269** |
| *y/y Growth* | *53.0%* | *173.2%* | *15.4%* | *21.3%* |

| Ratio Analysis | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| Gross margin | 19.1% | 20.2% | 21.8% | 22.7% |
| EBITDA margin | 14.8% | 16.1% | 17.7% | 18.3% |
| EBIT margin | 14.1% | 15.6% | 17.2% | 18.0% |
| Net profit margin | 10.6% | 13.6% | 13.2% | 14.0% |
| | | | | |
| ROE | 71.6% | 48.0% | 33.3% | 36.0% |
| ROA | 25.7% | 27.0% | 23.2% | 25.7% |
| ROCE | 48.9% | 48.5% | 48.0% | 52.0% |
| SG&A/Sales | 4.7% | 4.4% | 4.3% | 4.4% |
| Net debt/Equity | 0.1 | NM | NM | NM |
| Net debt/EBITDA (x) | 0.2 | NM | NM | NM |
| | | | | |
| Sales/Assets (x) | 2.4 | 2.0 | 1.8 | 1.8 |
| Assets/Equity (x) | 2.8 | 1.8 | 1.4 | 1.4 |
| Interest cover (x) | 55.4 | 117.0 | NM | NM |
| Operating leverage | 578.6% | 158.4% | 169.6% | 123.3% |
| Tax rate | 24.8% | 20.0% | 25.0% | 25.0% |
| Revenue y/y Growth | 7.2% | 22.0% | 18.1% | 22.3% |
| EBITDA y/y Growth | 41.6% | 33.0% | 29.7% | 26.8% |
| EPS y/y Growth | 44.0% | 41.4% | 14.3% | 29.8% |

| Valuation | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| P/E (x) | 44.3 | 31.3 | 27.4 | 21.1 |
| P/BV (x) | 27.9 | 9.9 | 8.5 | 6.9 |
| Dividend Yield | 1.5% | 1.9% | 2.1% | 2.7% |

Source: Company reports and J.P. Morgan estimates.
Note: W in billions (except per-share data).Fiscal year ends Dec. o/w - out of which

Simon Han AC
(82-2) 758-5711
simon.x.han@jpmorgan.com



# HD HYUNDAI MIPO: Summary of Financials

| Income Statement | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| **Revenue** | **4,039** | **4,409** | **4,861** | **5,457** |
| COGS | (4,070) | (4,181) | (4,360) | (4,725) |
| **Gross profit** | **(31)** | **228** | **501** | **732** |
| SG&A | (122) | (139) | (132) | (143) |
| **Adj. EBITDA** | **(84)** | **162** | **437** | **665** |
| D&A | (69) | (72) | (68) | (76) |
| **Adj. EBIT** | **(153)** | **90** | **369** | **589** |
| Net Interest | 2 | (11) | (7) | 0 |
| **Adj. PBT** | **(157)** | **111** | **362** | **589** |
| Tax | 18 | (25) | (87) | (141) |
| Minority Interest | (4) | (6) | (6) | (6) |
| **Adj. Net Income** | **(143)** | **80** | **269** | **442** |
| Reported EPS | (3,579) | 2,010 | 6,736 | 11,062 |
| **Adj. EPS** | **(3,579)** | **2,010** | **6,736** | **11,062** |
| | | | | |
| **DPS** | **0** | **500** | **1,700** | **2,800** |
| Payout ratio | 0.0% | 24.9% | 25.2% | 25.3% |
| Shares outstanding | 40 | 40 | 40 | 40 |

| Balance Sheet | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| Cash and cash equivalents | 310 | 326 | 334 | 469 |
| Accounts receivable | 1,608 | 1,378 | 1,519 | 1,705 |
| Inventories | 230 | 270 | 281 | 305 |
| Other current assets | 652 | 589 | 539 | 539 |
| **Current assets** | **2,799** | **2,563** | **2,673** | **3,018** |
| PP&E | 1,757 | 1,774 | 1,796 | 1,809 |
| LT investments | 44 | 36 | 41 | 50 |
| Other non current assets | 309 | 302 | 308 | 316 |
| **Total assets** | **4,909** | **4,675** | **4,818** | **5,193** |
| | | | | |
| Short term borrowings | 479 | 310 | 240 | 150 |
| Payables | 2,125 | 1,991 | 1,982 | 2,148 |
| Other short term liabilities | 132 | 100 | 100 | 100 |
| **Current liabilities** | **2,735** | **2,401** | **2,322** | **2,398** |
| Long-term debt | 139 | 160 | 120 | 30 |
| Other long term liabilities | 20 | 21 | 22 | 23 |
| **Total liabilities** | **2,894** | **2,581** | **2,463** | **2,450** |
| Shareholders' equity | 1,970 | 2,043 | 2,297 | 2,679 |
| Minority interests | 45 | 51 | 57 | 63 |
| **Total liabilities & equity** | **4,909** | **4,675** | **4,818** | **5,193** |
| **BVPS** | **49,396** | **51,217** | **57,589** | **67,180** |
| *y/y Growth* | *(7.7%)* | *3.7%* | *12.4%* | *16.7%* |
| | | | | |
| Net debt/(cash) | 307 | 144 | 26 | (289) |

| Cash Flow Statement | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| **Cash flow from operating activities** | **(533)** | **246** | **232** | **481** |
| o/w Depreciation & amortization | 63 | 72 | 68 | 76 |
| o/w Changes in working capital | (438) | 88 | (111) | (43) |
| | | | | |
| **Cash flow from investing activities** | **(112)** | **(82)** | **(95)** | **(98)** |
| o/w Capital expenditure | (126) | (90) | (90) | (90) |
| *as % of sales* | *3.1%* | *2.0%* | *1.9%* | *1.6%* |
| | | | | |
| **Cash flow from financing activities** | **465** | **(147)** | **(130)** | **(248)** |
| o/w Dividends paid | 0 | 0 | (20) | (68) |
| o/w Shares issued/(repurchased) | 0 | 0 | 0 | 0 |
| o/w Net debt issued/(repaid) | 465 | (147) | (110) | (180) |
| **Net change in cash** | **(180)** | **16** | **7** | **135** |
| | | | | |
| **Adj. Free cash flow to firm** | **(659)** | **156** | **142** | **391** |
| *y/y Growth* | *(829.0%)* | *(123.7%)* | *(8.9%)* | *175.0%* |

| Ratio Analysis | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| Gross margin | (0.8%) | 5.2% | 10.3% | 13.4% |
| EBITDA margin | (2.1%) | 3.7% | 9.0% | 12.2% |
| EBIT margin | (3.8%) | 2.0% | 7.6% | 10.8% |
| Net profit margin | (3.5%) | 1.8% | 5.5% | 8.1% |
| | | | | |
| ROE | (7.0%) | 4.0% | 12.4% | 17.8% |
| ROA | (3.0%) | 1.7% | 5.7% | 8.8% |
| ROCE | (7.0%) | 2.7% | 10.8% | 16.2% |
| SG&A/Sales | 3.0% | 3.1% | 2.7% | 2.6% |
| Net debt/Equity | 0.2 | 0.1 | 0.0 | NM |
| Net debt/EBITDA (x) | NM | 0.9 | 0.1 | NM |
| | | | | |
| Sales/Assets (x) | 0.8 | 0.9 | 1.0 | 1.1 |
| Assets/Equity (x) | 2.4 | 2.4 | 2.2 | 2.0 |
| Interest cover (x) | 40.0 | 14.5 | 63.5 | NM |
| Operating leverage | 463.7% | (1731.1%) | 3038.3% | 487.6% |
| Tax rate | (11.4%) | 22.2% | 24.0% | 24.0% |
| Revenue y/y Growth | 8.7% | 9.2% | 10.2% | 12.3% |
| EBITDA y/y Growth | 73.1% | (293.3%) | 170.1% | 52.4% |
| EPS y/y Growth | 220.6% | (156.2%) | 235.1% | 64.2% |

| Valuation | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| P/E (x) | NM | 67.3 | 20.1 | 12.2 |
| P/BV (x) | 2.7 | 2.6 | 2.3 | 2.0 |
| Dividend Yield | 0.0% | 0.4% | 1.3% | 2.1% |

Source: Company reports and J.P. Morgan estimates.
Note: W in billions (except per-share data).Fiscal year ends Dec. o/w - out of which

Simon Han AC
(82-2) 758-5711
simon.x.han@jpmorgan.com



# HD Korea Shipbuilding & Offshore Engineering: Summary of Financials

| Income Statement | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| **Revenue** | **21,296** | **25,095** | **28,133** | **30,629** |
| COGS | (20,248) | (22,517) | (23,862) | (25,147) |
| **Gross profit** | **1,048** | **2,578** | **4,271** | **5,482** |
| SG&A | (766) | (1,127) | (1,295) | (1,380) |
| **Adj. EBITDA** | **754** | **1,986** | **3,599** | **4,781** |
| D&A | (472) | (535) | (623) | (679) |
| **Adj. EBIT** | **282** | **1,451** | **2,976** | **4,102** |
| Net Interest | 8 | (27) | (5) | 12 |
| **Adj. PBT** | **(8)** | **1,589** | **3,007** | **4,151** |
| Tax | 153 | (361) | (752) | (1,038) |
| Minority Interest | 77 | (125) | (156) | (256) |
| **Adj. Net Income** | **222** | **1,102** | **2,099** | **2,857** |
| Reported EPS | 3,133 | 15,576 | 29,660 | 40,365 |
| **Adj. EPS** | **3,133** | **15,576** | **29,660** | **40,365** |
| | | | | |
| **DPS** | **0** | **3,500** | **7,000** | **9,000** |
| Payout ratio | 0.0% | 22.5% | 23.6% | 22.3% |
| Shares outstanding | 71 | 71 | 71 | 71 |

| Balance Sheet | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| Cash and cash equivalents | 3,018 | 3,018 | 2,592 | 2,527 |
| Accounts receivable | 8,617 | 9,295 | 10,420 | 11,344 |
| Inventories | 2,006 | 2,252 | 2,169 | 2,286 |
| Other current assets | 4,094 | 3,696 | 3,796 | 4,796 |
| **Current assets** | **17,735** | **18,260** | **18,977** | **20,953** |
| PP&E | 10,504 | 10,757 | 10,827 | 10,842 |
| LT investments | 976 | 1,162 | 1,552 | 1,876 |
| Other non current assets | 3,028 | 3,214 | 3,585 | 3,891 |
| **Total assets** | **32,243** | **33,393** | **34,941** | **37,562** |
| | | | | |
| Short term borrowings | 2,220 | 1,800 | 1,600 | 1,400 |
| Payables | 14,278 | 14,527 | 14,036 | 13,971 |
| Other short term liabilities | 999 | 1,049 | 1,081 | 1,113 |
| **Current liabilities** | **17,498** | **17,377** | **16,717** | **16,484** |
| Long-term debt | 1,696 | 1,500 | 1,300 | 1,200 |
| Other long term liabilities | 679 | 745 | 780 | 817 |
| **Total liabilities** | **19,872** | **19,621** | **18,797** | **18,501** |
| Shareholders' equity | 9,904 | 11,180 | 13,396 | 16,057 |
| Minority interests | 2,466 | 2,592 | 2,748 | 3,004 |
| **Total liabilities & equity** | **32,243** | **33,393** | **34,941** | **37,562** |
| **BVPS** | **140,051** | **158,098** | **189,437** | **227,071** |
| *y/y Growth* | *1.9%* | *12.9%* | *19.8%* | *19.9%* |
| | | | | |
| Net debt/(cash) | 897 | 282 | 308 | 73 |

| Cash Flow Statement | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| **Cash flow from operating activities** | **2,082** | **1,689** | **1,586** | **2,030** |
| o/w Depreciation & amortization | 433 | 535 | 623 | 679 |
| o/w Changes in working capital | 1,510 | (61) | (1,267) | (1,737) |
| | | | | |
| **Cash flow from investing activities** | **(1,267)** | **(1,074)** | **(1,365)** | **(1,300)** |
| o/w Capital expenditure | (858) | (800) | (700) | (700) |
| *as % of sales* | *4.0%* | *3.2%* | *2.5%* | *2.3%* |
| | | | | |
| **Cash flow from financing activities** | **(494)** | **(616)** | **(648)** | **(795)** |
| o/w Dividends paid | (3) | 0 | (248) | (495) |
| o/w Shares issued/(repurchased) | (22) | 0 | 0 | 0 |
| o/w Net debt issued/(repaid) | (18) | (616) | (400) | (300) |
| **Net change in cash** | **321** | **(0)** | **(426)** | **(65)** |
| | | | | |
| **Adj. Free cash flow to firm** | **1,223** | **889** | **886** | **1,330** |
| *y/y Growth* | *(656.8%)* | *(27.3%)* | *(0.3%)* | *50.0%* |

| Ratio Analysis | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| Gross margin | 4.9% | 10.3% | 15.2% | 17.9% |
| EBITDA margin | 3.5% | 7.9% | 12.8% | 15.6% |
| EBIT margin | 1.3% | 5.8% | 10.6% | 13.4% |
| Net profit margin | 1.0% | 4.4% | 7.5% | 9.3% |
| | | | | |
| ROE | 2.3% | 10.5% | 17.1% | 19.4% |
| ROA | 0.7% | 3.4% | 6.1% | 7.9% |
| ROCE | 41.2% | 7.9% | 14.5% | 17.6% |
| SG&A/Sales | 3.6% | 4.5% | 4.6% | 4.5% |
| Net debt/Equity | 0.1 | 0.0 | 0.0 | 0.0 |
| Net debt/EBITDA (x) | 1.2 | 0.1 | 0.1 | 0.0 |
| | | | | |
| Sales/Assets (x) | 0.7 | 0.8 | 0.8 | 0.8 |
| Assets/Equity (x) | 3.2 | 3.1 | 2.8 | 2.5 |
| Interest cover (x) | NM | 74.4 | 717.0 | NM |
| Operating leverage | (777.1%) | 2321.4% | 868.1% | 426.6% |
| Tax rate | (1902.7%) | 22.7% | 25.0% | 25.0% |
| Revenue y/y Growth | 23.1% | 17.8% | 12.1% | 8.9% |
| EBITDA y/y Growth | 1049.4% | 163.3% | 81.2% | 32.8% |
| EPS y/y Growth | (202.2%) | 397.2% | 90.4% | 36.1% |

| Valuation | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| P/E (x) | 73.4 | 14.8 | 7.8 | 5.7 |
| P/BV (x) | 1.6 | 1.5 | 1.2 | 1.0 |
| Dividend Yield | 0.0% | 1.5% | 3.0% | 3.9% |

Source: Company reports and J.P. Morgan estimates.
Note: W in billions (except per-share data).Fiscal year ends Dec. o/w - out of which

Simon Han AC
(82-2) 758-5711
simon.x.han@jpmorgan.com



# Samsung Heavy Industries: Summary of Financials

| Income Statement | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| **Revenue** | **8,009** | **9,903** | **10,744** | **11,469** |
| COGS | (7,364) | (8,997) | (9,397) | (9,632) |
| **Gross profit** | **645** | **906** | **1,347** | **1,837** |
| SG&A | (412) | (403) | (485) | (534) |
| **Adj. EBITDA** | **474** | **800** | **1,185** | **1,646** |
| D&A | (241) | (297) | (322) | (344) |
| **Adj. EBIT** | **233** | **503** | **862** | **1,302** |
| Net Interest | (146) | (169) | (81) | (40) |
| **Adj. PBT** | **(296)** | **(316)** | **782** | **1,262** |
| Tax | 140 | 369 | (172) | (278) |
| Minority Interest | 7 | 8 | 4 | 4 |
| **Adj. Net Income** | **(148)** | **62** | **614** | **989** |
| Reported EPS | (168) | 71 | 697 | 1,123 |
| **Adj. EPS** | **(168)** | **71** | **697** | **1,123** |
| | | | | |
| **DPS** | **0** | **60** | **170** | **250** |
| Payout ratio | 0.0% | 85.0% | 24.4% | 22.3% |
| Shares outstanding | 880 | 880 | 880 | 880 |

| Balance Sheet | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| Cash and cash equivalents | 584 | 377 | 528 | 622 |
| Accounts receivable | 4,325 | 3,961 | 3,979 | 4,248 |
| Inventories | 1,729 | 1,125 | 1,175 | 1,204 |
| Other current assets | 2,607 | 3,155 | 3,255 | 3,355 |
| **Current assets** | **9,245** | **8,618** | **8,937** | **9,429** |
| PP&E | 5,209 | 5,014 | 4,794 | 4,553 |
| LT investments | 461 | 305 | 347 | 383 |
| Other non current assets | 678 | 519 | 559 | 593 |
| **Total assets** | **15,593** | **14,456** | **14,638** | **14,957** |
| | | | | |
| Short term borrowings | 3,035 | 2,000 | 1,400 | 1,000 |
| Payables | 5,924 | 5,623 | 5,873 | 6,020 |
| Other short term liabilities | 2,273 | 2,500 | 2,500 | 2,500 |
| **Current liabilities** | **11,232** | **10,123** | **9,773** | **9,520** |
| Long-term debt | 516 | 470 | 400 | 100 |
| Other long term liabilities | 436 | 556 | 559 | 560 |
| **Total liabilities** | **12,184** | **11,149** | **10,732** | **10,180** |
| Shareholders' equity | 3,439 | 3,345 | 3,948 | 4,823 |
| Minority interests | (30) | (38) | (42) | (46) |
| **Total liabilities & equity** | **15,593** | **14,456** | **14,638** | **14,957** |
| **BVPS** | **3,908** | **3,801** | **4,486** | **5,481** |
| *y/y Growth* | *(4.3%)* | *(2.7%)* | *18.0%* | *22.2%* |
| | | | | |
| Net debt/(cash) | 2,967 | 2,093 | 1,272 | 478 |

| Cash Flow Statement | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| **Cash flow from operating activities** | **(516)** | **818** | **1,116** | **1,179** |
| o/w Depreciation & amortization | 211 | 297 | 322 | 344 |
| o/w Changes in working capital | (716) | 467 | 184 | (149) |
| | | | | |
| **Cash flow from investing activities** | **(195)** | **56** | **(242)** | **(236)** |
| o/w Capital expenditure | (152) | (100) | (100) | (100) |
| *as % of sales* | *1.9%* | *1.0%* | *0.9%* | *0.9%* |
| | | | | |
| **Cash flow from financing activities** | **376** | **(1,081)** | **(723)** | **(850)** |
| o/w Dividends paid | 0 | 0 | (53) | (150) |
| o/w Shares issued/(repurchased) | (49) | 0 | 0 | 0 |
| o/w Net debt issued/(repaid) | 489 | (1,081) | (670) | (700) |
| **Net change in cash** | **(335)** | **(207)** | **151** | **93** |
| | | | | |
| **Adj. Free cash flow to firm** | **(668)** | **718** | **1,016** | **1,079** |
| *y/y Growth* | *(60.5%)* | *(207.5%)* | *41.5%* | *6.2%* |

| Ratio Analysis | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| Gross margin | 8.1% | 9.1% | 12.5% | 16.0% |
| EBITDA margin | 5.9% | 8.1% | 11.0% | 14.4% |
| EBIT margin | 2.9% | 5.1% | 8.0% | 11.4% |
| Net profit margin | (1.9%) | 0.6% | 5.7% | 8.6% |
| | | | | |
| ROE | (4.2%) | 1.8% | 16.8% | 22.5% |
| ROA | (1.0%) | 0.4% | 4.2% | 6.7% |
| ROCE | 5.0% | 17.0% | 11.6% | 17.4% |
| SG&A/Sales | 5.1% | 4.1% | 4.5% | 4.7% |
| Net debt/Equity | 0.9 | 0.6 | 0.3 | 0.1 |
| Net debt/EBITDA (x) | 6.3 | 2.6 | 1.1 | 0.3 |
| | | | | |
| Sales/Assets (x) | 0.5 | 0.7 | 0.7 | 0.8 |
| Assets/Equity (x) | 4.3 | 4.4 | 4.0 | 3.4 |
| Interest cover (x) | 3.3 | 4.7 | 14.6 | 41.2 |
| Operating leverage | (366.5%) | 488.2% | 842.6% | 756.7% |
| Tax rate | (47.4%) | (117.1%) | 22.0% | 22.0% |
| Revenue y/y Growth | 34.7% | 23.6% | 8.5% | 6.7% |
| EBITDA y/y Growth | (172.3%) | 68.8% | 48.1% | 39.0% |
| EPS y/y Growth | (76.1%) | (141.9%) | 887.5% | 61.1% |

| Valuation | FY23A | FY24E | FY25E | FY26E |
|---|---|---|---|---|
| P/E (x) | NM | 210.8 | 21.3 | 13.2 |
| P/BV (x) | 3.8 | 3.9 | 3.3 | 2.7 |
| Dividend Yield | 0.0% | 0.4% | 1.1% | 1.7% |

Source: Company reports and J.P. Morgan estimates.
Note: W in billions (except per-share data).Fiscal year ends Dec. o/w - out of which

Simon Han AC
(82-2) 758-5711
simon.x.han@jpmorgan.com



**HD Hyundai Heavy Industries (329180 KS) - Rating and price target changes as of 17-Apr-25**

| Date | Rating | Price Target (Won) |
|---|---|---|
| 07-Jul-23 | OW | 180,000 |
| 21-Nov-23 | OW | 160,000 |
| 03-Jun-24 | OW | 180,000 |
| 16-Jul-24 | OW | 200,000 |
| 30-Jul-24 | OW | 260,000 |
| 05-Nov-24 | OW | 260,000 |
| 13-Jan-25 | OW | 370,000 |
| 17-Apr-25 | OW | 370,000 |

Source: Bloomberg Finance L.P., J.P. Morgan.

Simon Han AC
(82-2) 758-5711
simon.x.han@jpmorgan.com



**HD Hyundai Marine Solution (443060 KS) - Rating and price target changes as of 17-Apr-25**

| Date | Rating | Price Target (Won) |
|---|---|---|
| 17-Jun-24 | N | 150,000 |
| 18-Jun-24 | N | 150,000 |
| 24-Jul-24 | N | 150,000 |
| 08-Aug-24 | OW | 150,000 |
| 23-Oct-24 | OW | 160,000 |
| 10-Jan-25 | OW | 190,000 |
| 26-Feb-25 | OW | 190,000 |
| 17-Apr-25 | OW | 190,000 |

Source: Bloomberg Finance L.P., J.P. Morgan.

**HD HYUNDAI MIPO (010620 KS) - Rating and price target changes as of 17-Apr-25**

| Date | Rating | Price Target (Won) |
|---|---|---|
| 07-Jul-23 | OW | 115,000 |
| 21-Nov-23 | OW | 100,000 |
| 03-Jun-24 | OW | 100,000 |
| 09-Jul-24 | OW | 120,000 |
| 30-Jul-24 | OW | 150,000 |
| 05-Nov-24 | OW | 150,000 |
| 17-Apr-25 | OW | 150,000 |

Source: Bloomberg Finance L.P., J.P. Morgan.

Simon Han AC
(82-2) 758-5711
simon.x.han@jpmorgan.com



**HD Korea Shipbuilding & Offshore Engineering (009540 KS) - Rating and price target changes as of 17-Apr-25**

| Date | Rating | Price Target (Won) |
|---|---|---|
| 07-Jul-23 | OW | 150,000 |
| 21-Nov-23 | OW | 134,000 |
| 03-Jun-24 | OW | 165,000 |
| 10-Jul-24 | OW | 200,000 |
| 30-Jul-24 | OW | 260,000 |
| 05-Nov-24 | OW | 260,000 |
| 17-Apr-25 | OW | 260,000 |

Source: Bloomberg Finance L.P., J.P. Morgan.

Simon Han AC
(82-2) 758-5711
simon.x.han@jpmorgan.com



**Samsung Heavy Industries (010140 KS) - Rating and price target changes as of 17-Apr-25**

| Date | Rating | Price Target (Won) |
|---|---|---|
| 07-Jul-23 | OW | 9,000 |
| 27-Jul-23 | OW | 10,000 |
| 21-Nov-23 | OW | 10,500 |
| 07-Feb-24 | OW | 10,500 |
| 03-Jun-24 | OW | 12,000 |
| 25-Jul-24 | OW | 14,000 |
| 23-Aug-24 | N | 12,000 |
| 24-Oct-24 | N | 12,000 |
| 05-Feb-25 | N | 13,000 |
| 17-Apr-25 | N | 13,000 |

Source: Bloomberg Finance L.P., J.P. Morgan.

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HD Hyundai Heavy Industries (329180.KS, 329180 KS) Price Chart


Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 06, 2022. All share prices are as of market close on the previous business day.

| Date | Rating | Price (W) | Price Target (W) |
|---|---|---|---|
| 06-Dec-22 | OW | 114500 | 165,000 |
| 07-Jul-23 | OW | 136300 | 180,000 |
| 21-Nov-23 | OW | 114700 | 160,000 |
| 03-Jun-24 | OW | 128700 | 180,000 |
| 16-Jul-24 | OW | 160000 | 200,000 |
| 30-Jul-24 | OW | 208000 | 260,000 |
| 13-Jan-25 | OW | 314000 | 370,000 |

HD Hyundai Marine Solution (443060.KS, 443060 KS) Price Chart


Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 17, 2024. All share prices are as of market close on the previous business day.

| Date | Rating | Price (W) | Price Target (W) |
|---|---|---|---|
| 17-Jun-24 | N | 158000 | 150,000 |
| 08-Aug-24 | OW | 115100 | 150,000 |
| 23-Oct-24 | OW | 124100 | 160,000 |
| 10-Jan-25 | OW | 165600 | 190,000 |

HD HYUNDAI MIPO (010620.KS, 010620 KS) Price Chart


Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 31, 2007. All share prices are as of market close on the previous business day.

| Date | Rating | Price (W) | Price Target (W) |
|---|---|---|---|
| 19-Apr-22 | OW | 88700 | 115,000 |
| 30-Jul-22 | OW | 89900 | 120,000 |
| 25-Aug-22 | OW | 116000 | 140,000 |
| 05-Dec-22 | OW | 82300 | 115,000 |
| 07-Feb-23 | OW | 79500 | 105,000 |
| 07-Jul-23 | OW | 86500 | 115,000 |
| 21-Nov-23 | OW | 77500 | 100,000 |
| 09-Jul-24 | OW | 96900 | 120,000 |
| 30-Jul-24 | OW | 116800 | 150,000 |

Simon Han [AC]
(82-2) 758-5711
simon.x.han@jpmorgan.com



HD Korea Shipbuilding & Offshore Engineering (009540.KS, 009540 KS) Price Chart


Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 07, 2001. All share prices are as of market close on the previous business day.

| Date | Rating | Price (W) | Price Target (W) |
|---|---|---|---|
| 19-Apr-22 | OW | 93900 | 127,000 |
| 21-Jun-22 | OW | 88400 | 130,000 |
| 30-Jul-22 | OW | 84700 | 115,000 |
| 25-Aug-22 | OW | 98800 | 130,000 |
| 05-Dec-22 | OW | 74000 | 100,000 |
| 07-Jul-23 | OW | 120300 | 150,000 |
| 21-Nov-23 | OW | 100900 | 134,000 |
| 03-Jun-24 | OW | 130400 | 165,000 |
| 10-Jul-24 | OW | 159700 | 200,000 |
| 30-Jul-24 | OW | 203000 | 260,000 |

Samsung Heavy Industries (010140.KS, 010140 KS) Price Chart


Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 07, 2001. All share prices are as of market close on the previous business day.

| Date | Rating | Price (W) | Price Target (W) |
|---|---|---|---|
| 21-Jun-22 | N | 5570 | 6,000 |
| 30-Jul-22 | OW | 5620 | 7,500 |
| 25-Aug-22 | OW | 6210 | 8,000 |
| 05-Dec-22 | OW | 5100 | 7,000 |
| 07-Jul-23 | OW | 7050 | 9,000 |
| 27-Jul-23 | OW | 8370 | 10,000 |
| 21-Nov-23 | OW | 7720 | 10,500 |
| 03-Jun-24 | OW | 9160 | 12,000 |
| 25-Jul-24 | OW | 11090 | 14,000 |
| 23-Aug-24 | N | 10680 | 12,000 |
| 05-Feb-25 | N | 13350 | 13,000 |

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
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**J.P. Morgan Equity Research Ratings Distribution, as of April 05, 2025**

Simon Han [AC]
(82-2) 758-5711
simon.x.han@jpmorgan.com



| | Overweight (buy) | Neutral (hold) | Underweight (sell) |
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| JPMS Equity Research Coverage* | 47% | 40% | 13% |
| IB clients** | 74% | 69% | 52% |

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